

Press Release

Date

Company Name

**LT/ ST Rating Assigned/ Affirmed at/ Upgraded to/ Downgraded to ACER XX;
Outlook Stable/Positive/Negative or Rating Put on Watch <as applicable>**

Instrument/ Facility**	Amount (INR Crore)	Current Ratings	Rating Action	Regulator^
Term Loan				
Bank Loan Facilities				
Non - Convertible Debentures (NCDs)				
Commercial Paper (CP)				
Structured/Credit-enhanced instrument				
Total Rated Limits				

Details of Instruments*

*Details of Facilities/ Instruments are in Annexure 2

**Facility-wise lender details are at Annexure 3

^List of facilities corresponding to respective financial sector regulator (FSR) are in Annexure 5

Unsupported rating: ACER zz<Rating outlook>; <in case of credit enhanced ratings>

Analytical Approach

Results considered	Standalone or consolidated
If consolidation is being considered, then mention extent of consolidation	Partial consolidation/ Full consolidation
Mention ACER rating for group companies, if consolidation is considered	Do not mention rating of group companies from other CRAs
In case of a group support/ parent support/ government support has been taken	If yes, then mention the approach taken Bottom-up or Top-down
Any other point	As applicable

Brief Summary of the Rating Action

Mention 2-3 paragraphs for key parameters impacting the rating and what would be the key monitorable in the near to medium term. The analytical team can talk about

- Business profile and any changes
- Favourable/ unfavourable changes in revenue mix, credit metrics
- Support from the parent/ group and past track record
- Movement of the critical and measurable parameters in the past and expected performance in the future.
- Other points relevant to the case

Key Rating Drivers with Detailed Description

Strength 1

- Facts and reasons
- Criticality in business and financial risk profile
- ACER's expectations, if any, for future

Strength 2

- Facts and reasons
- Criticality in business and financial risk profile
- ACER's expectations, if any, for future

Strength 3

- Facts and reasons
- Criticality in business and financial risk profile
- ACER's expectations, if any, for future

... and so on

Weakness 1

- Facts and reasons
- Criticality in business and financial risk profile
- ACER's expectations, if any, for future

Weakness 2

- Facts and reasons
- Criticality in business and financial risk profile
- ACER's expectations, if any, for future

Weakness 3

- Facts and reasons
- Criticality in business and financial risk profile
- ACER's expectations, if any, for future

... and so on

Liquidity Indicator (as applicable)- Superior/ Adequate/ Stretched/ Poor

Comments on liquidity

- Mention about average utilisation of fund-based and non-fund-based limits and extent of unutilised limits (average of the last 12 months till the most recent period)
- Mention about unencumbered cash balances and liquid investments, if any, to support liquidity.
- Mention any capex plans impacting free cash flows
- Mention about expectations of operational cash flows in the near term, with proper reasons for such assumptions
- Cash accruals available for debt repayment
- Expected cash accruals to support future debt repayment obligations

Applicable Rating Criteria

Correct rating criteria to be tagged for each case

Rating Sensitivities

Positive sensitivities

- Enhancement in business profile, and
- Growth in the scale of operations, and
- Improvement in liquidity position, and
- Improvement in the credit metrics with interest cover ratio remaining above yy and/ or net leverage remaining below zz, and
- Betterment of linkage with the parent company, and
- Any other factors, ***all on a sustained basis, will be positive for the rating***

Negative sensitivities

- Deterioration in the scale of operations, and/ or
- Deterioration in the liquidity position, and/ or

- Weakening of credit metrics with interest cover remaining below zz and/ or net leverage remaining below xx, and/ or
- Weakening of linkages with the parent company, and/ or
- Any other factors, ***on a sustained basis, will be negative for the rating***

About the Company

- Incorporation of the company
- Public/ private limited/ partnership/ other company type to be mentioned
- Business and segments to be mentioned along with their contribution to revenue
- Geographies of operations to be mentioned
- Promoters and shareholding to be covered in this section
- Regarding merger/ demerger/ restructuring over the last 3 years
- Regarding the change in management over the last year
- Regarding NCLT accepted cases and their timelines

Financials (Standalone/ Consolidated/ both- as applicable)

Particulars	FY..	FY..	Latest interim/ provisional no. s
Operating Revenue (INR crore)			
EBITDA (INR crore)			
EBITDA margin (%)			
Interest coverage ratio (x)			
Net adjusted leverage (x)			
PAT margin (%)			

Source: Issuer Name, ACER

Status of non-cooperation with previous CRA: <As applicable>

Any other information: <As applicable>

Annexure 1: Rating History for the Last Three Years

Instrument type	Rating type	Rated limits (INR crore)	Current ratings	Historical rating/ Outlook/ Watch		
				Date of last Rating Rationale	Date of last Rating Rationale	Date of last Rating Rationale
Bank loan facilities (Cash credit and working capital term loans)	Long-term					
Bank loan facilities (non-fund-based limits and working capital demand loans)	Short-term					
Term loan (greenfield/brownfield project- please specify)	Long-term					
Commercial Paper	Short-term					
Non-Convertible Debenture	Long-term					
Any other instrument, including a structured/credit-enhanced instrument	Long-term/ Short-term, as applicable					

Annexure 1.1: Complexity Level of Rated Instruments

Instrument type	Complexity indicator
Bank facilities/ term loan/ Non-Convertible Debenture/ Commercial Paper/ Credit Enhanced instrument/ any other instrument	Simple/ Complex/ Highly Complex

ACER has classified instruments rated by it based on complexity, and a note thereon is available at www.acerratings.com

Annexure 2: Instrument/Facility Details

Name of Facility/ /Security	ISIN	Date of Issuance	Coupon Rate/ Interest Rate	Maturity Date	Size of Facility (Rs. Crore)	Listing Status (Listed/ unlisted/ Proposed to be listed)	Rating/ Outlook
Bank loan facilities (Cash credit and working capital term loans)							
Bank loan facilities (non-fund-based limits and working capital demand loans)							
Term loan (greenfield/brownfield project- please specify)							
Commercial Paper (CP)							
Non-Convertible Debenture (NCD)							

Annexure 3: Facility-wise lender details

Bank Name	Facility Name	Amount (INR crore)	Rating/ Outlook/ Watch
Lender 1	Fund-based working capital limits	xx	LT/ ST Rating with Outlook/ Watch
	Non-fund-based working capital limits	xx	LT/ ST Rating with Outlook/ Watch
	Term loan	xx	LT/ ST Rating with Outlook/ Watch
	Commercial paper	xx	ST Rating
	Non-Convertible debenture	xx	LT Rating with Outlook/ Watch
	Rating of structured product	xx	LT/ ST Rating with Outlook/ Watch
Lender 2	Fund-based working capital limits	xx	LT/ ST Rating with Outlook/ Watch
	Non-fund-based working capital limits	xx	LT/ ST Rating with Outlook/ Watch
	Term loan	xx	LT Rating with Outlook/ Watch
	Commercial paper	xx	ST Rating
	Non-Convertible debenture	xx	LT Rating with Outlook/ Watch
	Rating of structured product	xx	LT/ ST Rating with Outlook/ Watch
Lender 3	Fund-based working capital limits	xx	LT/ ST Rating with Outlook/ Watch
	Non-fund-based working capital limits	xx	LT/ ST Rating with Outlook/ Watch
	Term loan	xx	LT Rating with Outlook/ Watch
	Commercial paper	xx	ST Rating
	Non-Convertible debenture	xx	LT Rating with Outlook/ Watch
	Rating of structured product	xx	LT/ ST Rating with Outlook/ Watch

... and so on

Annexure 4: Detailed explanation of covenants of the rated Security/facilities: When Applicable, otherwise mention Not Applicable (Please **do not delete** this section, if there is no update in this section)

Annexure 5: List of activities under the purview of SEBI and other Financial Sector Regulators (FSR):

Annexure 6: List of companies considered for consolidated/Combined analysis: When Applicable, otherwise mention Not Applicable (Please **do not delete** this section, if there is no update in this section)

Analytical Contacts

Primary Analyst Name	
Official Contact Number	
Official email ID	

Lead/Senior Analyst Name	
Official Contact Number	
Official email ID	

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